



Wheatland Rural Electric Association
2154 South Street
Wheatland, WY 82201
www.wheatlandrea.com

(307) 322-2125 Office
(800) 344-3351 Toll Free
(307) 322-5340 Fax

Rate Protection for Large Loads Served by Wheatland Rural Electric Association

Dear Wheatland Rural Electric Association Members,

I would like to take this opportunity to answer questions about large loads and how they may affect the rest of the Wheatland Rural Electric Association (REA) membership.

For the better part of the last two years, Tri-State Generation and Transmission (Tri-State), together with its member cooperatives, including Wheatland REA, have been working on a rate tariff to address unprecedented large-load additions, such as data centers. The goal has always been to determine how these types of loads can be added in a way that benefits the entire membership. That means limiting risks to reliability and affordability while ensuring the broader membership is not left paying for stranded assets.

The High Impact Load Tariff filed with the Federal Energy Regulatory Commission (FERC) is designed to accomplish that goal. If large loads are added responsibly, they can provide meaningful benefits to Wheatland REA's membership. However, without appropriate safeguards, those same loads can create reliability, cost, and stranded-asset risks for existing members. Examples from other parts of the country show why these protections matter: when large loads are added without clear cost responsibility and planning safeguards, existing customers can face higher bills and increased system risk.

Recent examples from Virginia, Ohio, the PJM market, and Georgia show that rapid data center growth can create significant pressure on generation costs, transmission investment, and residential electric bills. In several cases, regulators have responded by requiring additional protections or warning that existing customers could bear substantial costs if large-load growth is not managed carefully. These examples demonstrate why large-load tariffs must ensure that the costs and risks of serving new load are assigned to the projects creating them, rather than shifted to existing members.

Rate Schedule FERC No. 435 High Impact Load (HIL) Tariff

Ratepayer Protection Summary

The summary below highlights the main protections in the tariff and explains how each one helps prevent large-load costs and risks from being shifted to existing members.

In plain terms, this tariff protects other ratepayers by making sure a very large new electric load cannot come onto the system and shift its costs or risks onto everyone else.

- **It makes the large load prove it can be served.** Before service moves forward, Tri-State studies whether the system has enough power supply, transmission capacity, and reliability margin to handle the load.
- **It protects against rate increases for everyone else.** A project must pass an economic test showing it will not increase Tri-State's member rate compared with the existing Class A Rate. In other words, the large load will not make ordinary members pay more just because extra generation, transmission, or capacity is needed.

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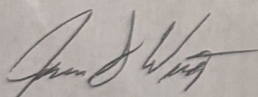
- **It requires the requesting party to pay project-specific costs.** If new interconnection facilities or transmission upgrades are directly needed for the project, the requesting party is responsible for those costs instead of spreading them across the broader membership.
- **It requires financial security.** The HIL Tariff requires a letter of credit, guaranty, or other security so that Tri-State and its members are protected if the project is delayed, canceled, underperforms, or creates stranded costs.
- **It prevents speculative load projections from driving system planning.** The project must provide detailed load ramp projections, monthly energy needs, maximum demand, and operating dates. That helps Tri-State plan for real, supportable load growth instead of committing resources for demand that may not materialize.
- **It limits how much energy and demand Tri-State must serve.** Tri-State is not obligated to serve above the project's agreed maximum demand, maximum annual energy, or monthly load ramp. That protects the system from unplanned usage that could create reliability concerns or unexpected costs for other members.
- **It screens for reliability impacts.** A project only passes if Tri-State can continue meeting reliability standards, including planning reserve margins and performance under extreme summer and winter conditions.
- **It uses a repeatable and transparent process.** The HIL Tariff creates defined cycles, deadlines, evaluation criteria, and independent review so projects are evaluated consistently rather than through one-off exceptions.
- **Bottom line:** the tariff keeps the door open to serving large new loads, but only when they can be served reliably, and economically—and only when the costs and risks are not pushed onto the rest of the members.

FERC quote from Docket Nos. ER26-1929-000 and ER26-1929-001

Document Accession No. 20260814-3083

"Tri-State's proposed HIL Tariff and pro forma HIL Agreement will help Tri-State to maintain the reliable operation of its transmission system and provision of full requirements service to its Utility Members while also helping to protect against cost shifts to other Utility Members."

Since 1936, Wheatland REA has served the changing needs of its membership. We view this unprecedented load growth as the next major challenge, and we are prepared to meet it while maintaining reliability and affordability for the full membership.



Jason S. Wright
General Manager
Wheatland Rural Electric Association.

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